

0452 | PAPER 2

TOPIC 06

Analysis and interpretation

FULL ANSWER GUIDE | 2021-2025**8 indexed questions • 188 total marks**

Independently reformatted and rewritten for study. Original examination questions are not reproduced.

CONTENTS

Subtopic	Questions	Marks
6.1 Calculation and understanding of accounting ratios	8	188

How to use: open the matching question in the topical bank, attempt it first, then compare with the answer guide below. Standard accounting terms and figures are retained; explanatory points are shortened and independently worded.

6.1 Calculation and understanding of accounting ratios

Question 01 | Feb/Mar 2021 Paper 22 Question 4 - 20 marks

4(a)	ratio	working	answer
gross margin	$\frac{51\,480}{114\,400} \times 100$	$\frac{100}{1} \times \text{whole formula}$	45%
trade receivables turnover (days)	$\frac{15\,400}{114\,400} \times 365$	$\frac{365}{1} \times \text{whole formula}$	50 days
(round up to next whole day)			
current ratio	$\frac{2\,850 + 15\,400}{7\,430 + 6\,190}$	$\frac{18\,250}{13\,620} = \text{whole formula}$	1.34:1
(correct to two decimal places)			

4(b)(i) If Chaaya's trade receivables turnover (in answer to (a)) is greater than Sara's (Sara's was 28 days)

Chaaya's trade receivables turnover is slower than Sara's
Chaaya may be allowing her credit customers longer to pay

Key point: Chaaya credit customers paying within stated period

Chaaya's credit control policy may not be efficient

Risk: causing Chaaya cash flow problems Sara Key point: result Chaaya having irrecoverable debts Sara

Key point: Chaaya trade receivables turnover Sara 28 days

Chaaya's trade receivables turnover is faster than Sara's

Key point: Chaaya allowing her credit customers time pay

Chaaya's customers may be paying within a stated credit period
Chaaya is less likely to have irrecoverable debts than Sara
Chaaya's credit control policy is more efficient than Sara's

Risk: causing Chaaya fewer cash flow problems Sara

4(b)(ii) Chaaya and Sara may Also valid: different credit periods

Chaaya and Sara may use different accounting policies
Chaaya and Sara may have different year-ends

Definition: relate one year meaningful look trends

4(c) Advantages

Cash would be received quicker
The bank overdraft may be reduced
Overdraft interest may be reduced
There would be no irrecoverable debts
There would be fewer administration costs

Disadvantages

Risk: lose customers prefer buy credit damage relationship Key point: profit due trade discount reduction selling price sales revenue Key point: sales usually one off rather regular trade discount little effect

Increased risk of fraud or theft/ increased security measures required

Recommendation

4(d)(i) If the business has sufficient profitability/liquidity to continue to offer them employment

Benefit: Whether Chaaya afford pay them increase wages

4(d)(ii) Bank manager

Trade payables
Customers
Government departments/tax office
Potential buyers of Chaaya's business/potential partner
Investors/potential investors

END OF ANSWER

Question 02 | May/June 2021 Paper 21 Question 5 - 34 marks

5(a)	Trade receivables turnover (days)
workings	answer
$\frac{12\,400}{154\,000} \times 365$	24 days

$$\frac{191000}{7000} \times \frac{365}{120000} = 1$$

Trade payables turnover (days)

workings answer

7 000 365 22 days

120 000 1 whole formula

5(b)(i) Answers to be based on OF answers to (a)

Ahu	Omer
Has an inefficient credit control system/slower to resort to legal action	Has a more efficient credit control system/quicker to resort to legal action
Offers no cash discount/lower rate of cash discount for prompt payment	Offers cash discount/higher rate of cash discount for prompt payment
Charge no interest/lower rate of interest on overdue Accounts	Charge interest/higher rate of interest on overdue Accounts
Does not make use of invoice discounting and factoring	Makes use of invoice discounting and factoring
(Max 2)	

5(b)(ii) Answers to be based on OF answers to (a)

Ahu	Omer
Is allowed a longer credit period by trade payables	Is allowed a shorter credit period by trade payables
Suppliers offer no cash discount/lower rate of cash discount for prompt payment	Suppliers offer cash discount/higher rate of cash discount for prompt payment
Suppliers charge no interest/lower rate of interest on overdue accounts	Suppliers charge interest/higher rate of interest on overdue accounts
Credit customers take longer to pay	Credit customers pay more quickly
Has less liquidity/is less able to pay the suppliers	Has more liquidity/is more able to pay suppliers
Is a more established customer so suppliers may be more flexible on credit period taken	Is paying quickly in order to establish a good relationship with suppliers
(Max 2)	

5(c)

Advantages of employing marketing manager	Disadvantages of employing marketing manager
May increase sales and may raise profit	Manager's salary will increase expenses
May improve business reputation/brand image	Increased cost of marketing/marketing expenses
Can utilise experience and skills of manager	Manager may not be experienced/effective
May increase market share	Increase in sales/profit may be less than salary
(Max 4)	
Recommendation	

5(d) Establish a credit limit for each customer

Issue invoices and statements promptly
 Improve credit control/maintain good credit control system
 Refuse further supplies until outstanding balance paid
 Take legal action if necessary
 Also valid: cash discount for prompt payment
 Sell on a cash basis only/reduce credit sales
 (Max 3)

5(e) Matching

Risk: ensure revenue period matched against costs same

Prudence

Decision point: Profit anticipated all losses provided

To ensure that profits and assets are not overstated
 To ensure that losses and liabilities are not understated
 (Max 1)

Consistency

Key point: ensure methods used consistently one period next Key point: comparison financial statements year

(Max 1)

Business entity

Key point: ensure records relate Key point: ensure treated completely separately owner

(Max 1)

END OF ANSWER

Question 03 | Oct/Nov 2021 Paper 22 Question 2 - 20 marks

2(a) \$ \$

Revenue		160 000
Cost of sales		
Opening inventory	11 000	
Purchases	109 000	
	120 000	
Closing inventory	8 000	
		112 000
Gross profit		48 000
Operating expenses		35 200
Profit for the year		12 800

2(b)(i) 48 000 100

Gross margin $\frac{48\,000}{160\,000} \times 100 = 30\%$

2(b)(ii) Increase selling price / reduce trade discount to customers

Obtain cheaper supplies / obtain higher trade discount from suppliers
Purchase lower quality goods

Benefit: Change proportion different types goods sold sell higher profit margin

2(c) 22 600 365

Trade receivables turnover $\frac{160\,000}{22\,600} \times 365 = 52$ days

2(d) Advantages Disadvantages

Sales may increase
May attract more customers
Profit may increase
May improve relationship with customers

Delays the receipt of money
Additional working capital may be required
May be an increase in irrecoverable debts
May be an increase in administration costs

Recommendation

2(e) 11600 365

Trade payables turnover $\frac{109\,000}{11\,600} \times 365 = 39$ days

2(f) Reduction in cost of sales

If goods can be sold the gross profit will increase
May reduce selling price to increase sales revenue
Could increase range of products to sell

Consider if the additional goods can be sold
Increase in quantity / value of inventory
Increased cost of storage
Additional working capital may be required
Increase in amount payable to suppliers each month

Recommendation

END OF ANSWER

Question 04 | May/June 2022 Paper 21 Question 4 - 34 marks

4(a) Gross margin 11

Key point: 112300 12800 72 250 14 650 41900

Profit margin $\frac{112300}{41900} \times 100 = 37.31\%$

Rate of inventory turnover $\frac{12800}{14650} \times 365 = 5.13$ times

Current ratio $\frac{12700}{5375} = 2.36$

Liquid ratio $\frac{12700}{5375} = 2.36$

4(b) Advantages

Benefit: able increase sales gain customers reducing selling price Benefit: able increase sales gain customers extra advertising

Profit may increase if sales increase
The gross margin may improve
Can respond to increase in demand
The inventory should not lose value

Disadvantages

Expenses increase/profit decreases due to the increased advertising costs
Demand for that particular type of inventory may decrease
Inventory may deteriorate over time
Goods may be of inferior quality
Already has a large amount of inventory
May increase storage costs
May require an increased bank overdraft/reduce liquidity/decrease liquid ratio
Advertising does not guarantee increase in sales

for recommendation

4(c) Either Accounting methods must be used consistently from one accounting period to the next

Decision point: methods changed unless good reason doing

Definition: means accurate comparisons made year Key point: profit particular year distorted

4(d) Business reputation/goodwill

Reliability of workforce/skills of workforce/ staff morale/working conditions
Actions of competitors
Government decisions
Location of business

END OF ANSWER

Question 05 | Feb/Mar 2023 Paper 22 Question 4 - 20 marks

4(a) Gross margin

Risk: Cost sales 3750 62 305 7500 58 555

Key point: Gross profit 98 000 58 555 39 445

39 445 100

□OF whole formula = 40.25%OF

98 000 1

Profit margin

Key point: Profit year 39 445OF 31 188 4630 12 887OF

12 887 100

98 000

Rate of inventory turnover

58 555 58 555 }

=OF = 10.41 timesOF

(3750 + 7500) / 2 5625 }

Liquid (acid test) ratio

Key point: 9240 5365 5135 10 500 whole formula 0 88

4(b)(i) Answers based on answer to 4 (a)

Gross margin has improved

The selling price has increased/trade discount allowed has decreased
Cost of sales has decreased/increase in inventory

4(b)(ii) Answers based on answer to 4 (a)

The liquid (acid test) ratio has worsened

More funds are tied up in inventory
Increase in current liabilities
Decrease in liquid current assets

4(c) For reducing selling price

Should increase total quantity sold
Reduce inventory
Should improve rate of inventory turnover
Should reduce the risk of un-saleable inventory (damage/deterioration)
May reduce storage costs if have less inventory

Risk: increase total cash received sales reduce bank overdraft improve liquid acid

Against reducing selling price
Would reduce gross margin

Less cash received from each unit sold

Key point: Customer unwilling pay full price future

Recommendation

4(d) Need to consider the amount of profit made since the end of the last financial year

Key point: Need consider inventory held present date

END OF ANSWER

Question 06 | Oct/Nov 2023 Paper 22 Question 5 - 20 marks

5(a) Gross margin 11

$$= \frac{98\,420 - (6\,175 + 78\,130 - 6\,265)}{98\,420} = \frac{20\,380}{98\,420} = 20.71\% \text{ OF}$$

Profit margin

$$= \frac{(20\,380 - 11\,325)}{98\,420} = \frac{9\,055}{98\,420}$$

Return on capital employed

$$= \frac{9\,055 \text{ OF}}{125\,000} \times 100 = 7.24\% \text{ OF}$$

Rate of inventory turnover

=

Key point: 6 175 78 130 265 040 12 55 times

OF

$$\text{Liquid ratio} = \frac{(6\,175 + 6\,265) / 2}{992 / 4\,880} = \frac{6\,220}{0.20}$$

5(b) The gross profit margin will be lower than her competitor's

Risk: Reduction gross profit margin result lower profit increase sales my higher

profit

Risk: profit year profit margin reduce increase advertising expenses profit Benefit: year increase gross profit sales extra advertising

Benefit: Selling her inventory faster mean sales competitor

Needs to sell more inventory to significantly raise profit

5(c) For obtaining a bank loan

If business expands profit may increase

Key point: Once loan paid off further liability bank

5 years before loan is due allows time for repayment

Against obtaining a bank loan

Interest will have to be paid on the loan

Loan interest will lower profit for the year

The bank may require security

Assets may be at risk if unable to repay loan

The loan will have to be repaid

Bank may not be prepared to offer a loan

Recommendation

5(d) Assess whether loan can be repaid

Assess whether loan interest can be paid

Assess security available for the loan

END OF ANSWER

Question 07 | May/June 2024 Paper 21 Question 4 - 20 marks

4(a) Ahmed

		Rent receivable account			
Date	Details	\$	Date	Details	\$

2023 Dec 31	Income statement	4 800	Apr 1	2023 Bank					
	Balance c/d			1 200	Sept 30	Bank		3 600	
				6 000					2 400
					2024 Jan 1	Balance b/d	1 200		6 000

4(b) Ahmed

Dr Disposal of office equipment account						Cr	
Date	Details	\$	Date	Details	\$		
2023 Jan 3	Office equipment	3 200	2023 Jan 3	Provision for			
				Depreciation			
				(800 + 600)	1 400		
				Rahat	1 350		
				Income statement	450		
			Dec 31				
		3 200					3 200

Dates

Key point: Calculation depreciation 3 200 25% 800 2 400 600

4(c)

	\$	Capital expenditure	Revenue expenditure
Painting the walls of the storage area	600		
Shelving for the storage area	2 115		
Installation of the shelving	460		
Light fittings for storage area	620		
Light bulbs for storage area	105		

4(d)

ratio	working	answer (to 2 decimal places)
Rate of inventory turnover (times)	$(9\ 000 - 97\ 000 - 12130) = 93\ 870$ $(9\ 000 - 12130) / 2 = 10\ 565$	8.880F
Current ratio	$(12\ 130 + 6180 + 175) : (5500 + 640)$ $= 18\ 485 : 6140$ whole formula	3.01:
Liquid (acid test) ratio	$(6180 + 175) : (5500 + 640)$ $= 6355 : 6140$ whole formula	1.04:

4(e) The increased inventory may result in goods deteriorating or becoming obsolete

Increase in storage costs
Inefficient use of storage space

Risk: Increase funds tied up inventory result bank overdraft incur interest charges

END OF ANSWER

Question 08 | May/June 2024 Paper 23 Question 5 - 20 marks

5(a) Gross margin: 11

Risk: Cost sales 5 200 51 300 6 500 50 000
Gross profit 97 000 - 50 000 = 47 000
47 000 100
Gross margin = $\frac{47\ 000}{97\ 000} = 48.45\%$

Profit margin:
Profit 47 000 OF - 23 750 = 23 250
23 250 OF 100
Profit margin = $\frac{23\ 250}{97\ 000\ CF} = 23.97\%OF$

Inventory turnover:
50 000 OF
 $(5\ 200 - 6\ 500) / 2 = 5850$
 $= 8.55\ timesOF$

Trade receivables turnover
9 550 365
 $\frac{9\ 550}{86\ 400} = 1$ whole formula = 41 daysOF

Liquid (acid test) ratio

Key point: 9 550 1 200 6 000 whole formula 79

5(b)(i) His purchase price has fallen / he has been allowed trade discount

His sales mix has changed

5(b)(ii) Whether Ajay will be able to continue in business/continue being able to supply them

5(c) Advantages

- Should increase sales / attract new customers
- May raise profit for the year
- Should increase rate of inventory turnover
- Reduces risk of inventory deteriorating / becoming damaged / obsolete
- Reduces cost of holding inventory (storage, insurance)
- May improve his reputation

Disadvantages

Risk: reduce gross margin profit profit year profit margins make loss Risk: money coming unit sold liquidity reduced

Key point: Customers question quality goods damage his reputation Key point: Customers unwilling pay full price

future Risk: better offer cash discount reduce trade receivables

Recommendation

5(d) May result in loss if expenses continue to increase

Benefit: He able pay expenses suppliers wages they continue increase

The business cannot continue indefinitely if this trend continues

END OF ANSWER